Q3 2026 Financial Audit & Compliance Report

Prepared by: Directorate of Internal Audit | Date: 2026-10-15 | Clearance: Tier 3 (Strict)

1. Executive Summary & Revenue Recognition

During the third fiscal quarter of 2026, Datheon Enterprise Solutions achieved total consolidated revenue of $48.6M across enterprise AI software subscriptions and professional forward deployment services. Operating margin reached 24.8%, exceeding initial street guidance by 180 basis points. Cloud hosting and infrastructure expenditures on AWS and GCP totaled $11.2M, driven primarily by high-throughput GPU inference clusters and private VPC interconnects. All revenue recognized complies strictly with ASC 606 guidelines regarding multi-year contract milestone deliverables.

2. Capital Expenditures & Hardware Amortization

Capital expenditure for Q3 2026 stood at $6.4M, allocated toward on-premise hardware appliances deployed at regulated client datacenters. Server depreciation schedules follow a 36-month linear amortization standard. Vendor commitments with NVIDIA and Supermicro total $14.5M in pending hardware purchase orders scheduled for fulfillment across Q4 2026 and Q1 2027.

3. Sarbanes-Oxley (SOX) Section 404 Controls

Internal audit tested 142 discrete internal financial controls. Zero material weaknesses were identified. Three minor deficiency observations were noted within manual ERP wire transfer reconciliation, specifically requiring secondary sign-off on accounts payable transactions exceeding $250,000 USD. A remediation SLA of 30 business days was assigned to the Global Accounts Payable supervisor.

4. Q4 2026 Projections & Tax Reserves

Projected full-year 2026 consolidated gross revenue is estimated at $198M-$205M. Effective corporate tax rate reserve is held at 21.4%. The company maintains $32.8M in liquid cash and cash equivalents with tier-one banking partners. Wire disbursements require dual authorized officer signatures under Board Policy 2024-B.